

# US Dollar

October 2026 outlook: firm into the FOMC, fraying beyond it

Analyst: [ANALYST NAME] · Data as of 28 Sep 2026 · Issue [N]

1 TO 3 MONTHS  
**USD bullish**

6 TO 12 MONTHS  
**Neutral**

## 1 TO 3 MONTH OUTLOOK

**A December hike is underpriced; the dollar stays firm through October.**

**Priced:** 72% of a 25bp hike on 28 Oct (CME FedWatch, 28 Sep), dots at 4.1% for year end. **View:** payrolls beat (+162k vs +53k), core CPI +0.3% m/m and Chair Warsh's "inflation is too high" argue for more than one further move. **Positioning:** CFTC DXY longs +10k, near a 3-month low after July's record long was cut: not crowded. **Change our mind:** payrolls under 50k on 2 Oct, a soft 14 Oct CPI, or a hold on 28 Oct.

## 6 TO 12 MONTH OUTLOOK

**The rate premium peaks; valuation and fiscal strain start to bite.**

**Priced:** a plateau near 4.1% through 2027, easing to 3.9% in 2028 (Fed SEP). **Supportive:** positive real rates; net energy exporter with Brent near \$107; safe-haven demand on Iran. **Against:** REER 114, near its record; ~17% rich to EUR on PPP; a 5% 10y and Treasury buybacks leaning on yields. **Where we disagree:** the market assumes the Fed can outrun a Treasury capping yields.

Real rates +

Terms of trade +

Dollar smile +

Fiscal —

Valuation —

## TRADE IDEA

### Sell EUR/USD (long USD), spot

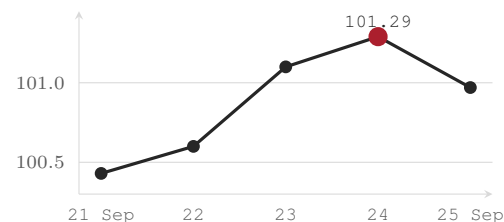
|               |                                               |
|---------------|-----------------------------------------------|
| Entry         | 1.1400                                        |
| Stop          | 1.1550                                        |
| Target        | 1.1100                                        |
| Reward : risk | 2.0 before carry · 2.3 after (+46 pips)       |
| Size          | 1% of book · ~EUR 667k                        |
| Catalysts     | 2 Oct payrolls · 14 Oct CPI · 28 Oct FOMC     |
| Horizon       | Small, short dated; exit after 28 Oct if flat |

## INDICATORS PANEL

|                        |                |
|------------------------|----------------|
| DXY (25 Sep close)     | 100.97         |
| Fed funds (16 Sep)     | 3.75–4.00%     |
| Next FOMC · priced     | 28 Oct · +18bp |
| 2y Treasury (25 Sep)   | [4.81%] verify |
| 10y Treasury (16 Sep)  | 5.02%          |
| CPI / core, Aug        | 3.4% / [2.4%]  |
| Real policy rate       | +0.5%          |
| Payrolls / unemp., Aug | +162k / 4.1%   |
| REER (BIS, May)        | 114.0          |
| CFTC DXY net (22 Sep)  | +10,330        |

## CHART 1

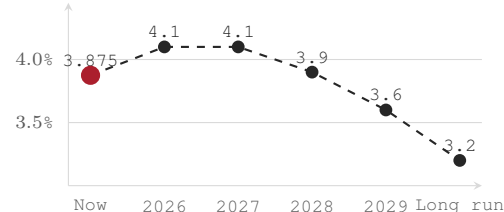
**The dollar rallied into the hike, back to July highs**



DXY daily close. Source: Portfolio Terminal, 25 Sep 2026. Swap in a 1–2 year DXY vs 2y spread chart before publishing.

## CHART 2

**The Fed plans to stay high for two years, then ease**



Fed funds midpoint now vs median projections. Source: FOMC Summary of Economic Projections, 16 Sep 2026.

## FORECASTS AGAINST THE FORWARD

| Pair    | Horizon       | Spot   | Forward         | Our forecast | Against the forward           |
|---------|---------------|--------|-----------------|--------------|-------------------------------|
| EUR/USD | 3 months      | 1.1403 | 1.1449          | 1.1200       | USD stronger than the forward |
| EUR/USD | 12 months     | 1.1403 | 1.1584          | 1.1600       | In line with the forward      |
| USD/JPY | 3 / 12 months | 157.25 | 156.23 / 153.28 | [ ] / [ ]    | From the JPY page             |
| USD/CAD | 3 / 12 months | 1.4141 | 1.4084 / 1.3920 | [ ] / [ ]    | From the CAD page             |

Forwards from spot and policy rates as a proxy (USD 3.875%, EUR 2.25%, JPY 1.25%, CAD 2.25%). Sources: Federal Reserve, BLS, BEA, CME FedWatch, CFTC, BIS/FRED, Portfolio Terminal, CNBC; data 16–28 Sep 2026. Values in [brackets] to be verified or completed. Student research for teaching purposes; not investment advice.